**BOARD OF CBA**

**MINUTES**

**(24.09.2013)**

**Refinancing Rate for September 24th, 2013**

**The 24th of September 2013 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Oleg Aghasyan.**

The Board Meeting opened with presentation of Situation Report as of September 24, 2013. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 0.3 percent inflation in August of 2013 against 0.4 percent deflation recorded in August of the previous year, and in late September the 12-month inflation amounted to 9.3 percent. The August inflation was totally driven by 2.6 percent increase in service tariffs, with public utility fees having risen by 6 percent due to increased price on energy resources. Core inflation in August was 0.1 percent, with the 12-month inflation figure having reached 5.7 percent. The Board of the CBA maintained a point that already in September the inflation will tend to reduce to stay at a level lower than the current interest rate.

Based on the first half results, the growth rates of economic growth have slowed down due to more sluggish growth rates in world economy, reduced gross investment into Armenia and a contractionary fiscal policy aimed to stabilize debt. In the first half of the year the economic growth reached 3.5 percent against the first quarter's 7.5 percent. In the period January-August of 2013, relative to the same reference period of the previous year, the Economic Activity Indicator has been 3.8 percent. In the third quarter of 2013 growth rates in private spending further trended downward while the pace of recovering in private investment was slower than anticipated, according to the Central Bank estimates. These were the main factors having contributed to the decline in construction thus deceleration of economic growth rates on the whole. The quarter will end with private consumption and private investment posting 4.5 percent y-o-y and -2.9 percent y-o-y growths, according to the Central Bank estimates. By the end of the year economic growth rates are expected to speed up owing to the projects underway in industry, agriculture and construction.

Based on the third quarter results, the impact of fiscal policy on the aggregate demand is still more contractionary than expected, due mainly to less disbursed expenditures under external funding programs.

The results of the first eight months of the year denote further improvement in the current account of the Balance of Payments, which is attributable to growth rates of real volume of export still higher than those of import as well as growth rates in private transfers persisting at elevated levels like in the previous year. In the period January-August of 2013, relative to the same reference period of the previous year, external trade turnover indicators were as follows: export (trade statistics: FOB) has increased by 8.9 percent and import (trade statistics: CIF), by 0.8 percent. Net inflow of private remittances of individuals has grown in the meantime by 10.9 percent y-o-y.

The financial market in the second half of August saw trends of rising interest rates in response to a 0.5 pp increase of the Central Bank's refinancing rate during that month. However, on a monthly basis, the interest rates were relatively stable: average monthly interbank repo rate was 8.25 percent (posting a 0.3 pp drop against end-July); market rate of treasury bills with up to 1-year of maturity fell by 0.1 pp to 8.8 percent; and interest rate of stock exchange-traded interbank loans rose by 0.3 pp to 8.6 percent.

In August 2013, relative to the past July average, the dram exchange rate has appreciated versus the U.S. dollar by 0.8 percent to AMD 407.3; it however depreciated versus Euro by 0.8 percent to AMD 542.2, and, again, it appreciated versus Ruble by 1.8 percent to AMD 12.3.

The world economic growth rates kept on slowing during the third quarter of 2013, with deflationary patterns still observable in commodities and food product markets. The September 5th-released Food Price Index of FAO posted 1.9 percent drop in August against the previous month's index, and the Index has fallen by 5.1 percent in relation to the same reference period of the previous year.

In the third quarter of 2013, relative to the previous quarter, the average price of "Brent" crude, as quoted at Intercontinental Exchange, has risen by 6.9 percent (with y-o-y increase of 0.13

percent). At London Metal Exchange the copper price fell by 1.1 percent q-o-q (with y-o-y decrease of 8 percent). Based on the third quarter data as released by the U.S. Department of Agriculture and New York Board-Intercontinental Exchange, there has been an estimated drop in export prices of Hard Red Wheat and Rough Sugar, by 2.6 percent q-o-q (with y-o-y decrease of 12.5 percent) and 2.6 percent q-o-q (with y-o-y decrease of 20.3 percent), respectively. Following the discussion, the Board estimated that in the upcoming period no external risks to the expanding of inflation will be expected.

In the third quarter euro appreciated versus the U.S. dollar by more than 1.3 percent (with y-o-y appreciation of 5.9 percent).

**Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.**

**The Board admitted that the external sector developments were in line with the forecasts. The global economy further paced a path of slowdown and the world's main commodity and food product markets saw deflationary patterns. Under such developments, in the forecast horizon, no major inflationary pressures will be anticipated from the external environment.**

**The developments in the domestic economy are characterized by weakening domestic demand, driven by slower growth rates in private consumption and contracted volumes in private investment. In addition, the fiscal policy continues to leaving a contractionary influence upon the domestic demand.**

**The Board has consensus that in the upcoming 12 months the inflation will subside to the projected value. In consideration of the inflationary pressures in external and domestic sectors, the slackened economic activity as well as the anticipation of positive real interest rates by looking forward to seeing reduced inflation in the months ahead, the Board thinks current monetary conditions will allow to tame risks to expanding of inflation and slowing of economic activity. Also, given the domestic demand continues at a low level, the Board will react by loosening the monetary conditions.**

**In the short run, therefore, the inflation will gradually reduce to approach the confidence band and stay within in the forecast horizon.**

**In the 24th of September 2013 meeting the Board left the Refinancing Rate unchanged, at the 8.5 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 10.0 percent and 7 percent, respectively.**

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